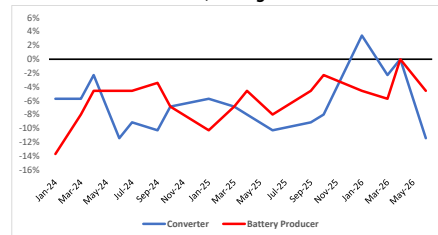


Lithium Value Chain Survey: Temporary Pullback, Diverging Signals

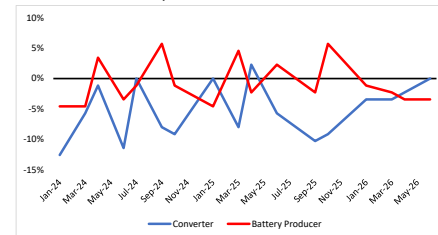
Our survey of lithium converters (77% of sales in China) and battery materials producers (73%) highlights decelerating battery volumes and a weaker backlog, translating into converters expecting >10% price declines in Q3. New orders have decelerated and confidence in those orders has decreased. Inventories are lower YoY: converters believe battery producer inventories are too low, but battery producers believe their customers have a modest overhang.

Chart 1 - Lithium Prices, % Chg. Next 3 Months



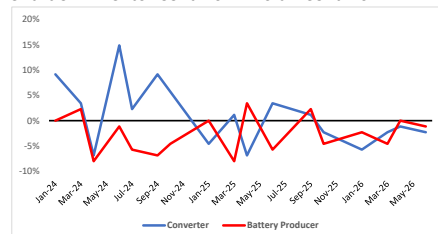
Source: Jefferies Proprietary Survey

Chart 2 - Volumes, % YoY



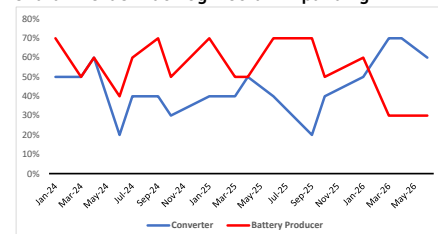
Source: Jefferies Proprietary Survey

Chart 3 - Inventories % YoY - Volumes % YoY



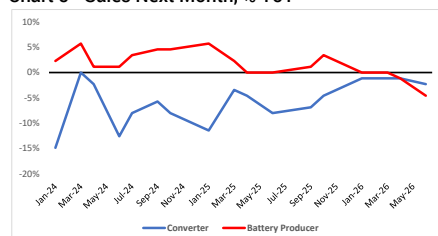
Source: Jefferies Proprietary Survey

Chart 4 - Order Backlog: >50% = Expanding



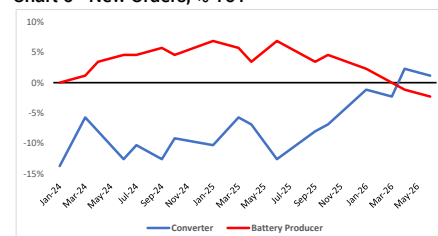
Source: Jefferies Proprietary Survey

Chart 5 - Sales Next Month, % YoY



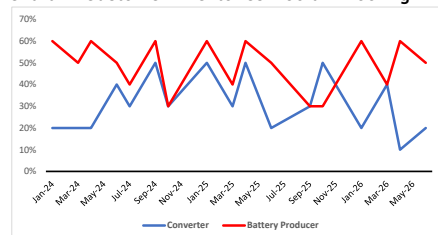
Source: Jefferies Proprietary Survey

Chart 6 - New Orders, % YoY



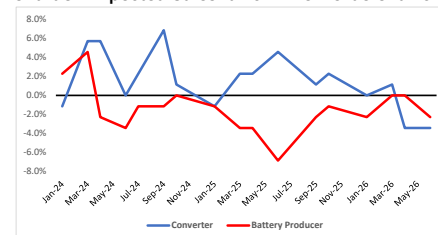
Source: Jefferies Proprietary Survey

Chart 7 - Customer Inventories: >50% = "Too High"



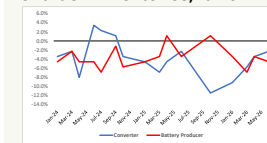
Source: Jefferies Proprietary Survey

Chart 8 - Expected Sales % YoY - New Orders % YoY



Source: Jefferies Proprietary Survey

Chart 9 - Inventories, % YoY



Source: Jefferies Proprietary Survey

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(Article 3(1)e and Article 7 of MAR)

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